Assignment Econometrics 30413

The objective of the present assignment is threefold:

1) To allow you to observe how the econometrics tool you have studied in this course have been applied in high quality economics research.
2) To incentivize you to think about novel research questions or extensions of existing research.
3) To be able to present your intuitions, research, and outcomes effectively.

We believe this skills are necessary complements to the econometric models and tools you will study in this course and will allow to exploit them in your future endeavors.

The assignment will be divided in two different parts, which you will write in a report no longer than 10 pages, including figures and tables but excluding references. The first part revolves around understanding the research question of these papers. You will have to choose one of the following papers and identify the research question, the main empirical results and replicate them to best of your abilities through R.

The second part will turn more into a critic and an economist. We ask you to describe a possible weak spot in the authors methodological part of the paper and to propose (and if possible run) a simple extension. We will be particularly interested in your understanding of the econometric tools you will learn during this course.

We will ask you to then prepare a short presentation, no longer than 10-15 minutes each, which you will present to the class either the 11th or the 12th of May.

We will ask you to form groups of maximum 5 people to run this assignment. You will be able to register on Blackboard up until the first partial exam the 17th of March. You will be asked to hand in the report, the replication code and the presentation slides before the 10th of May included. The assignment will make 10% of the final grade and we will evaluate them based on how rigorous your analysis and replication of the paper is, on the research creativity of your extensions, and on your ability to present the results in a complete and clear manner.

You can pick one among these papers:

- *Ricardo Mora, "A Nonparametric Decomposition of the Mexican American Average Wage Gap", Journal of Applied Econometrics, Vol. 23, No. 4, 2008, 463–485.*
- *Donald S. Kenkel and Joseph V. Terza "The Effect Of Physician Advice On Alcohol Consumption: Count Regression With An Endogenous Treatment Effect", Journal of Applied Econometrics, Vol. 16, 2001, 164–184.*
- *Elhanan Helpman, Marc Melitz, and Yona Rubinstein, "Estimating Trade Flows: Trading Partners and Trading Volumes", Quarterly Journal of Economics, Vol. 123, No. 2, 2008, 441–487.*
- *Joshua D. Angrist and William N. Evans, "Children and Their Parents' Labor Supply: Evidence from Exogenous Variation in Family Size", American Economic Review, Vol. 88, No. 3, 1998, 450–477.*

- *Marianne Bertrand and Sendhil Mullainathan, "Are Emily and Greg More Employable that Lakisha and Jamal? A Field Experiment on Labor Market Discrimination", American Economic Review, Vol 94, No. 4, 2004, 991–1013.*

You will find them on Blackboard, but we encourage you to learn how to find them either through JSTOR or the specific journal sites. We will also briefly go over them during one of the exercise classes to explore their contributions in the wider research environment.